

**BEFORE THE
FEDERAL MARITIME COMMISSION**

PKDC, LLC,

Complainant

v.

CMA CGM S.A.,

Respondent

DOCKET NO. 24-21

RESPONDENT'S PARTIAL MOTION TO DISMISS

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Respondent CMA CGM S.A. (“CMA CGM”), through counsel, hereby moves to dismiss four of the five claims contained in the complaint in this proceeding (“Complaint”).

This case arises out of a service contract between Complainant PKDC, LLC (“PKDC”), a U.S. importer, and CMA CGM, an ocean carrier. The parties signed a contract (assigned number 21-2947) under which PKDC agreed to ship and CMA CGM agreed to transport 4,000 twenty-foot equivalent units (“TEUs”) of cargo from various foreign countries to the United States during the period from March 19, 2021, through April 30, 2022.¹

¹ Given that the conduct herein at issue occurred prior to June 16, 2022, the changes made to the Shipping Act of 1984 by the Ocean Shipping Reform Act of 2022 (which became law on June 16, 2022) are not applicable to this proceeding. Discussion herein of the relevant statutory provisions is based on the law in effect prior to June 16, 2022.

to adhere to the terms of the service contract violate several different provisions of the Shipping Act of 1984, as amended (the “Act”). As explained in greater detail below, four of PKDC’s five alleged violations of the Act should be dismissed.

II. APPLICABLE LEGAL STANDARD

The Commission’s rules of practice and procedure do not explicitly provide for motions to dismiss. However, Rule 12 (46 C.F.R. §502.12) states that the Federal Rules of Civil Procedure (“FRCP”) are followed in instances that are not covered by the Commission’s rules, to the extent that the application of the FRCP is consistent with sound administrative practice. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216, at *6 (FMC Oct. 29, 2020). The Commission has stated:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12, at *25-26 (FMC Aug. 1, 2011). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is

not with whether a complainant can prevail on its claim but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179, at *5 (M.D. Tenn. 2014).

Four of PKDC's claims fail to meet this standard.

III. FOUR OF PKDC'S CLAIMS SHOULD BE DISMISSED

Four of PKDC's Shipping Act claims should be dismissed because they do not plausibly give rise to an entitlement to relief.

A. PKDC Fails To State A Claim Under Section 41104(a)(9)

PKDC fails to state a claim under Section 41104(a)(9) of the Act because it does not allege that the conduct in question was directed at a port.

Section 41104(a)(9) makes it unlawful for a common carrier such as CMA CGM, when providing service pursuant to a service contract, to:

give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port

When Congress adopted this statutory provision in 1998, it stated:

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at the locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.

S. Rep. 61, 105th Cong., 1st Sess., p. 28 (1997) (emphasis added). The Commission has interpreted this statutory provision in a manner that is consistent with its plain language and its legislative history, and has dismissed complaints alleging violations of Section 41104(a)(9) when

the complaint did not indicate that the alleged conduct was targeted at a specific port but was instead directed at particular shipper. *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co, KG and Hamburg Sud North America, Inc*, FMC Docket No. 21-11, Order on Respondents’ Motions to Partially Dismiss and for a Protective Order and Complainant’s Motion for Expedited Relief at 6 (ALJ August 31, 2022), administratively final October 6, 2022.

Here, as in *OJ Commerce*, the Complaint does not allege that CMA CGM’s purported conduct was directed at a specific port. Instead, as in *OJ Commerce*, the allegation is that the conduct which is the subject of the Complaint was targeted at Complainant:

Respondent’s systematic refusal to meet its quantity and/or rate commitments under the service contract it entered into with Complainant in favor of shippers willing to pay in excess of the rates set forth in the service contract constitutes giving an undue or unreasonable preference of vantage [sic] or imposing an undue or unreasonable prejudice with respect to a port in violation of 46 U.S.C. §41104(a)(9).

Complaint, ¶ 11. Thus, the Complaint seeks to apply the statute in a manner that is totally at odds with the manner in which Congress intended it to be applied. As a result, it does not adequately plead a claim for relief under Section 41104(a)(9) and does not plausibly give rise to an entitlement to relief under that Section. Accordingly, this count of the Complaint should be dismissed.

B. PKDC Fails To State A Claim Under Section 41104(a)(2)

PKDC fails to state a claim for relief under Section 41104(a)(2), which makes it unlawful for a common carrier such as CMA CGM to:

(2) provide service in the liner trade that is—

(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract

entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or

(B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title;

The Complaint does not adequately plead a claim for relief under Section 41104(a)(2) in that it fails to identify a single container that was transported at rates other than those in the service contract or a single charge assessed against PKDC that was not set forth in the service contract or CMA CGM's tariff. Indeed, the Complaint concedes, as it must, that when rate adjustments were agreed upon, they were reflected in amendments to the service contract. Complaint ¶ 34. Absent an allegation that some specific shipment was moved at a rate not filed in a service contract or tariff, a Section 41104(a)(2) claim cannot survive a motion to dismiss.

The sole basis upon which the Complaint alleges a violation of Section 41104(a)(2) is not that shipments were transported at other than contract rates, but on Respondent's alleged "...systematic refusal to meet its quantity and/or rate commitments" and Respondent's alleged "...systematically refusing to meetings its service commitments to Complainant and extracting extracontractual payments..." Complaint ¶¶ 10, 59.² Even assuming for purposes of this motion that PKDC's allegations are true (which CMA CGM denies), seeking customer consent to an increased rate is not prohibited by Section 41104(a)(2), which merely prohibits the provision of service at unfiled rates.

In this regard, the predecessor of Section 41104(a)(2) was Section 10(b)(1) of the Shipping Act of 1984. As originally adopted, that section made it unlawful for a carrier to:

Charge, demand, collect or receive greater, less, or different compensation for the transportation of property or for any service in connection therewith than the rates and charges that are shown in its tariffs or service contracts.

² Paragraph 59 of the Complaint appears to allege a violation of Section 44102(c), rather than 41104(a)(2).

Public Law 98-237 (March 20, 1984). The present wording of 41104(a)(2) was adopted in 1998. Public Law 105-258 (October 14, 1998). The 1998 amendments deleted the “demand” language, narrowing the scope of the prohibition to make it clear that the only conduct prohibited by this section of the Act is the provision of service at unfiled/unpublished rates.

It appears Complainant would have the Commission read this statutory provision as prohibiting carriers from seeking to revise contract terms in light of changes in market conditions. Reading the statute in that manner would produce the anomalous result of prohibiting carriers from seeking rate increases when warranted by market conditions while allowing shippers to seek rate reduction when warranted by market conditions. Such a restriction on the freedom of contract is not sound law or policy. Indeed, such a reading suggests that it should be unlawful for shippers to demand rate reductions in a down market.

Simply put, PKDC fails to state a plausible claim for relief by failing to identify any service that was provided other than in accordance with applicable service contract/tariff terms. Accordingly, PKDC’s Section 41104(a)(2) claim should be dismissed.

C. PKDC Fails To State A Claim Under Section 41104(a)(10)

PKDC fails to state a claim under Section 41104(a)(10), the current version of which makes it unlawful for a carrier such as CMA CGM to:

unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.

However, the version of Section 41104(a)(10) in effect prior to June 16, 2022, which is applicable in this proceeding, merely made it unlawful for a common carrier to:

unreasonably refuse to deal or negotiate.

Here, CMA CGM did not refuse to deal or negotiate with PKDC, unreasonably or otherwise.

In interpreting the prohibition against unreasonable refusals to deal, the FMC has stated:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R.

345, 351 (ALJ 2001), *aff’d* 29 S.R.R. 1066 (FMC 2002), *aff’d* *New Orleans Stevedoring*

Company v. Federal Maritime Commission, 30 S.R.R. 1066 (D.C. Cir. 2002)(emphasis added).

More recent decisions confirm that an unreasonable refusal to deal necessarily involves imposition by a common carrier of an unreasonable impediment to a shipper’s access to common carriage. *MSRF, Inc. v. HMM Co. Ltd.*, Docket No. 22- 20, 2023 WL 8242695 (ALJ Nov. 22, 2023), citing *Definition of Unreasonable Refusal to Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 88 Fed. Reg. 38789, 38791 (June 14, 2023).

PKDC does not argue that CMA CGM engaged in a “shut out,” and the Complaint actually acknowledges that CMA CGM transported cargo for PKDC. Complaint, ¶ 23. Instead, PKDC alleges that CMA CGM did not provide all of the space it was required to provide under the service contract. At most, PKDC alleges a breach of the contract, not a refusal to deal.

Accordingly, PKDC has failed to state a plausible claim that CMA CGM engaged in an unreasonable refusal to deal or negotiate, and PKDC’s Section 41104(a)(10) claim should be dismissed.

D. The Commission Lacks Jurisdiction Over PKDC's Section 41102(c) Claim With Respect To The Provision Of Space And Application Of Service Contract Rates

Because PKDC's Section 41102(c) claim with respect to CMA CGM's alleged failure to fulfill the service contract is a breach of contract claim rather than Shipping Act claim, the Commission lacks jurisdiction over the claim, which should be dismissed.

PKDC alleges that CMA CGM's purported failure to honor its commitments under the service contract and alleged seeking of "extracontractual payments" constitutes a failure to establish, observe and enforce just and reasonable practices relating to the receiving, handling, storing and delivering of PKDC's cargo in violation of Section 41102(c). However, Section 40502(f) of the Act states:

Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. The contract dispute resolution forum may not be controlled by or in any way affiliated with a controlled carrier or by the government that owns or controls the carrier.

Therefore, if PKDC's claim is one for a breach of contract (which it is), it should be dismissed.

The Commission purportedly established a test for distinguishing between breach of service contract claims (over which it lacks jurisdiction) and Shipping Act claims (over which it has jurisdiction) in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635 (2000). In *Cargo One*, the complainant alleged that COSCO had violated multiple provisions of the Shipping Act by allegedly refusing to honor the rates in the service contract between them and by allegedly refusing to provide equipment and vessel space to Cargo One. The Commission, in reviewing the administrative law judge's ruling on COSCO's motion, wrote:

However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant's

allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, whether the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

28 S.R.R. at 1645 (internal footnotes omitted). Thus, the question is whether PKDC's claims are inherently a breach of contract action or whether they involve "elements peculiar to the Shipping Act." The burden is on PKDC to rebut the presumption that the claim is no more than a simple breach of contract claim.

The proper application of the *Cargo One* test requires dismissal of PKDC's Section 41102(c) claim as it relates to the performance of the service contract. The first step in this analysis should be to strip the complaint of its Shipping Act verbiage to examine the true nature of the claim. *Western Overseas Trade and Development Corp. v. Asia North America Eastbound Rate Agreement*, 1994 WL 67702 * 13 (FMC 1994)(stripped of Shipping Act verbiage, complainants' allegation nothing more than common law defense to breach of contract action).

What PKDC is alleging is that it contracted for a certain amount of space at certain rates, and that CMA CGM failed to provide the full amount of space required by the contract and/or to honor the rates in the contract. There is nothing – absolutely nothing—peculiar to the Shipping Act about this claim. The Section 41102(c) claim, as it relates to performance of the contract, raises no issues beyond contractual obligations and, under the Commission's *Cargo One* test, should be dismissed.

PKDC will likely make two arguments in support of a finding of jurisdiction, both of which are flawed. The first argument is that the Commission and/or its administrative law

judges have found jurisdiction in other cases. While this is true, it is only true because in those decisions the Commission and its administrative law judges failed to apply the *Cargo One* test correctly. Instead of requiring complainants to rebut a presumption that claims are ordinary breach of contract claims and disregarding Shipping Act verbiage, the Commission and its administrative law judges have improperly accepted at face value whatever characterization of a claim is set forth on the face of the complaint.

For example, in *Anchor Shipping Co. v. Aliança Navegação e Logística Ltda.*, 30 S.R.R. 991 (2006), the ALJ had dismissed a complaint filed by a shipper that had already prevailed on a breach of contract claim in arbitration. The ALJ relied on *Cargo One* and found that the claims were essentially breach of contract claims. The complainant appealed, and the Commission reversed the dismissal, finding on the face of the complaint that the allegations were not precluded under the *Cargo One* rationale. A similar conclusion was reached in *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company SA*, FMC Docket No. 21-05, Order on Motion to Amend Complaint and Motion to Dismiss (ALJ February 4, 2022).

The practice of the Commission and its administrative law judges of accepting at face value the characterization of a claim in a complaint is not only inconsistent with *Cargo One*, but also has the effect of reading Section 40502(f) out of the Act completely. Under the approach the Commission has taken with respect to this issue to date, it appears there is no breach of contract claim over which the Commission would decline jurisdiction as long as the complaint contains the most minimal allegation of a violation of the Act. This approach renders Section 40502(f) a nullity, in contravention of the well-established principle of statutory interpretation that requires an agency to give effect to all provisions of a statute so that none are rendered

inoperative, superfluous, void or insignificant. *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990); *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980).

The second argument that PKDC may make in support of jurisdiction is that CMA CGM allegedly engaged in the “practice” of selling space it was contractually required to provide to PKDC to other customers at higher prices and that this “practice” raises Shipping Act issues. This argument is devoid of merit because a party’s motives for breaching a contract do not raise issues beyond contractual obligations.

In this regard, even if PKDC’s allegation is true (which is assumed for purposes of this motion without being conceded by CMA CGM), it does not alter the fundamental nature of the claim. In a breach of contract claim, a party’s purported motive to breach a contract is not relevant to the issue of whether there has been a breach. *Alki Partners, LP v. DB Fund Servs., LLC*, 4 Cal. App. 5th 574, 597 (2016). In keeping with this principle, willful breaches of contract are not distinguished from other breaches and punitive damages are not been awarded for breach of contract. *Restatement (Second) of Contracts*, Ch. 16, Introductory Note (1981).

The fact that a party’s motive (if any) for breaching a contract is not relevant highlights how inappropriate it is to apply the reasonableness standard of Section 41102(c) to service contracts. The Commission is trying to determine if conduct that breaches a contract is “reasonable” under the Act while contract law instructs that such an analysis is irrelevant. At the end of the day, it doesn’t matter if a party breached a service contract intentionally or not, or even whether the breach was malevolent – it is still nothing more than a breach of contract. *Globe Ref. Co. v. Landa Cotton Oil Co.*, 190 U.S. 540, 547 (1903); *JRS Prod., Inc. v. Matsushita*

Ele. Corp. of Am., 115 Cal. App. 4th 168, 182 (2004). No amount of colorful facts painting the accused carrier in the worst possible light changes the fact that a failure to provide space under a service contract raises no issues beyond contractual obligations and thus is a breach of contract rather than a violation of the Act.

Indeed, courts and commentators generally recognize the concept of an efficient breach of contract, i.e., where the breaching party finds it more beneficial to breach the contract than to perform under it. *Restatement (Second) of Contracts*, *supra.*; David W. Barnes, “The Anatomy of Contract Damages and Efficient Breach Theory,” 6 S. Cal. Interdisc. L.J. 397, 399 (1998). In other words, there are times **when it is reasonable for a party to breach a contract**. This again highlights why the Commission should not continue applying the Act’s reasonableness standard to contractual disputes.

At the end of the day, stripped of Shipping Act verbiage, PKDC’s Section 41102(c) claim with respect to performance of the service contract is nothing more than a garden variety breach of contract claim over which the Commission lacks jurisdiction. Accordingly, the claim should be dismissed.

E. PKDC Fails To State A Claim Under Section 41102(c)

Because Section 41102(c) of the Act applies only to terminal and forwarding services, and not to the transportation of cargo, it does not apply to the alleged failure to perform under the contract. Thus, the Complaint fails to state a claim for which relief may be granted and should be dismissed.

Section 41102(c) of the Act states:

Practices in Handling Property.- A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

The Commission has for many years interpreted Section 41102(c) and its predecessor provisions as limited to terminal and forwarding activities. In *Los Angeles By-Products Co., et al. v. Barber S.S. Lines, Inc., et al.*, 2 U.S.M.C. 106 (USMC 1939), the Commission's predecessor considered the application of the second paragraph of Section 17 of the Shipping Act, 1916, to charges imposed by carrier for the handling of cargo at U.S. West Coast ports.

The then-Commission quoted Section 17, which read:

Every such carrier (common carrier by water in foreign commerce) and every other person subject to his act shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property.

Immediately after quoting the statute, the Commission stated:

This paragraph relates to services performed at the terminal as distinguished from the carrying or transporting by the vessel.

2 U.S.M.C. at 114 (emphasis added). This decision began an uninterrupted and undisturbed line of precedent which limits the application of Section 41102(c) to terminal and forwarding activities.

In *Proposed Rule Covering Time Limit On The Filing Of Overcharge Claims*, 7 S.R.R. 418 (FMC 1966), the Commission opted not to adopt a proposed rule which would have rendered invalid the time limits carriers had established for customers to file overcharge claims. In so doing, the Commission stated:

Finally, the second paragraph of Section 17 of the Shipping Act, 1916, under which the carriers' limitation were alleged to be invalid by our Notice of Proposed Rule Making does not relate to the practices of the type here involved. It relates only to practices "relating to or connected with the receiving, handling, storing or delivering of property," and its application has thus been confined to forwarding and terminal operations.

7 S.R.R. at 425, citing *Los Angeles By-Products Co.*, supra (emphasis added). See also, *North River Insurance Co. and Northwestern National Insurance Co. v. Federal Commerce and Navigation Co., Ltd.*, 20 S.R.R. 1078, 1084 (ALJ 1981) (“Respondent correctly points out that the paragraph relied upon by complainants has expressly been limited to the operations of terminals and forwarders.”)

The limited application of Section 41102(c) and its predecessor provisions is discussed in detail in *Heavy Lift Practices And Charges of Hapag-Lloyd Aktiengesellschaft*, 17 S.R.R. 505, 528-533 (ALJ 1977). In that case, the ALJ considered whether certain carrier practices and charges violated various provisions of the Shipping Act, 1916, including the predecessor of Section 41102(c). The ALJ reached the following conclusion regarding the scope of Section 17:

As Hearing Counsel have noted, at least as early as 1939, the Commission held that Section 17, second paragraph, applied to “services performed at the terminal as distinguished from the carrying or transporting by the vessel.” *Los Angeles By-Product Co. v. Barber S.S. Co. Lines, Inc.*, cited above, 2 USMC at 114.

17 S.R.R. at 529. The ALJ’s conclusions were found to be “proper and well-founded” by the Commission, which adopted them. 18 S.R.R. 1491 (1979).

Heavy Lift Practices And Charges is also instructive because of the position taken by the Commission’s Bureau of Hearing Counsel with respect to the scope of Section 17, which the ALJ described as follows:

Hearing Counsel contend that the Commission had established that the type of practice covered by this particular law does not relate to tackle-to-tackle ocean freight service, i.e., line-haul transportation, but instead refers to so-called terminal services. Terminal services are such activities as carloading and unlading, handling of cargo from place of rest to ship’s tackle and the reverse, and free time and demurrage practices relating to the storing of cargo at the terminal. Hearing Counsel cite *Los Angeles By-Products Co. v. Barber S.S. Lines, Inc.*, 2 USMC 106, 114 (1939), which stated

that Section 17, second paragraph, “relates to services performed at the terminal as distinguished from the carrying or transporting by the vessel.” Hearing Counsel contend furthermore that nonterminal activity has been held to fall within the scope of Section 17, second paragraph, only to the extent such activity is performed by a terminal operator or becomes intimately related to terminal operation through the action of a terminal operator...

17 S.R.R. at 529 (citations omitted). Under the foregoing Commission decisions, Section 41102(c) is clearly and expressly limited to terminal and forwarding services.

That Section 41102(c) is applicable only to terminal and forwarding services and not to the transportation of cargo (or, as in this case, the alleged failure to transport cargo) is further confirmed by other Commission decisions. In this regard, the Commission has consistently held that Section 41102(c) does not apply to the transportation of cargo. See, e.g., *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962) (claims for loss of or damage to cargo or for damages due to failure to follow routing instructions do not fall within the Act, citing *Pilgrim Furniture Co., Inc. v. American-Hawaiian Steamship Co.*, 2 U.S.M.C. 517 (1941)); *Bills of Lading – Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (USMC 1949)(section 17, second paragraph, is confined to the receiving, handling, storing, or delivering of property, to the exclusion of transportation).

The alleged failure to provide space relates to the transportation of cargo, and thus PKDC has failed to state a plausible claim under Section 41102(c) insofar as performance of the contract is concerned.

IV. CONCLUSION

For the foregoing reasons, the claims identified above should be dismissed with prejudice.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

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Dated: June 10, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 10th day of June, 2024, the foregoing Respondents' Partial Motion To Dismiss was served via electronic mail on:

Jason Kennger, Esq. (jkenner@strtrade.com)

Andrew Margolis, Esq. (amargolis@strtrade.com)

A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written over a horizontal line.

Wayne R. Rohde